

MODEL QUESTION PAPER----- SET 1

AUDITING

(Time: 3 hours)

(Maximum marks: 75)

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 marks)

1	The word 'Audit' is derived from the Latin word 'audire' which means	M1.01	R
2	----- means enquiry or examination with a fixed object	M1.01	R
3	----- is concerned with allocation of work among employees	M2.01	R
4	Sales book is used to record -----	M2.02	R
5	The examination of financial transactions with supporting evidence is called -----	M3.01	R
6	State the meaning of valuation	M3.04	R
7	Give examples of primary vouchers	M3.01	R
8	State the meaning of social audit	M4.01	R
9	Write a short note on audit report	M4.02	R

PART B

II Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24marks)

1	Define Auditing	M1.01	R
2	Explain the term internal audit	M1.02	U
3	Explain the term statutory audit	M1.02	U
4	Define internal checks	M2.01	U
5	Discuss any two advantages of internal check to the auditor	M2.01	U
6	Compare Internal audit and External audit	M2.04	U
7	How the opening cash balance is vouched?	M3.03	R
8	Enumerate the documents to be examined while vouching cash purchases	M3.03	A
9	State any three advantages of social audit	M4.01	U
10	Discuss the need for social audit	M4.01	U

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III	What are the limitations of an audit OR	M1.01	U
IV	Compare investigation and auditing	M1.01	U
V	Suggest a scheme of internal check of cash payments OR	M2.02	A
VI	As a management expert, what system of internal check would you suggest for purchases	M2.02	A
VII	Compare verification and valuation OR	M3.04	U
VIII	Compare vouching and verification	M3.02	U
IX	Explain different types of audit report OR	M4.02	U

X	List out the limitations of Social Audit	M4.01	R
XI	Explain the procedure for vouching of Bills receivable book and Bills payable book.	M3.03	U
XII	OR Explain the procedure for verification of any two current assets	M3.05	U
XIII	Explain the procedure of vouching the Purchase Book.	M3.03	U
XIV	OR Explain the procedure of vouching the Sales Book.	M3.03	U

Question Wise Analysis

Course: AUDITING

SET 1

Q.No	Module Outcome	Cognitive Level	Marks	Time
I.1	M1.01	R	1	2 Mts
I.2	M1.01	R	1	2 Mts
I.3	M2.01	R	1	2 Mts
I.4	M2.02	R	1	2 Mts
I.5	M3.01	R	1	2 Mts
I.6	M3.04	R	1	2 Mts
I.7	M3.01	R	1	2 Mts
I.8	M4.01	R	1	2 Mts
I.9	M4.02	R	1	2 Mts
II.1	M1.01	R	3	9 Mts
II.2	M1.02	U	3	9 Mts
II.3	M1.02	U	3	9 Mts
II.4	M2.01	U	3	9 Mts
II.5	M2.01	U	3	9 Mts
II.6	M2.04	U	3	9 Mts
II.7	M3.03	R	3	9 Mts
II.8	M3.03	A	3	9 Mts
II.9	M4.01	U	3	9 Mts
II.10	M4.01	U	3	9 Mts
III	M1.01	U	7	15 Mts
IV	M1.01	U	7	15 Mts
V	M2.02	A	7	15 Mts
VI	M2.02	A	7	15 Mts
VII	M3.04	U	7	15 Mts
VIII	M3.02	U	7	15 Mts
IX	M4.02	U	7	15 Mts
X	M4.01	R	7	15 Mts
XI	M3.03	U	7	15 Mts
XII	M3.05	U	7	15 Mts
XIII	M3.03	U	7	15 Mts
XIV	M3.03	U	7	15 Mts

Blue Print

Mark Distribution

Module	hr / Module	Marks/Module ($\sum hi$) * 123 ($\pm 5\%$)	Type of Questions							
			Part A		Part B		Part C		Total	
			No. of Questions	Marks	No. of Questions	Marks	No. of Questions	Marks	No. of Questions	Marks
1	18	25	2	2	3	9	2	14	7	25
2	18	25	2	2	3	9	2	14	7	25
3	24	51	3	3	2	6	6	42	11	51
4	15	22	2	2	2	6	2	14	6	22
Total	75	123	9	9	10	30	12	84	31	123

Blue Print Cognitive Level Mark Distribution

Cognitive Level	Marks	% of Marks
Remembering	22	18
Understanding	84	68
Applying	17	14
Analyzing	..	..
Evaluating	..	..
Creating	..	..
TOTAL	123	100

SCHEME OF VALUATION (Scoring Indicators)

Revision:
Course Title: Auditing

Course code:

- I. PART A
1. To hear
2. Investigation
3. Internal check

4. Credit sales
5. Vouching
6. Valuation means to test the exact value of assets on the basis of its utility.
7. Cash memos, pay in slip.
8. A social audit is a way of measuring, understanding, reporting and ultimately improving an organization's social and ethical performance.
9. The auditor's report is a document containing the auditor's opinion on whether a company's financial statements comply with generally accepted accounting principles and are free from material misstatement.

9 marks

II. *PART B*

1. According to L.R.Dicksee, "an audit is an examination of accounting records undertaken with a view to establishing whether they correctly and completely reflect the transaction to which they relate".

3 Marks

2. It is a part of internal control. It is done by employees of enterprise working for salary. The scope and objectives of it may vary from business to business, and may extend to many matters which are non-accounting nature. It involves systematic examination of records, systems, procedures, operations of organization as a service to the management.

3 Marks

3. Where an audit is made compulsory by law, it is called statutory audit. Statutory audit is prescribed in the case of
 Companies governed by companies act 1956 (joint stock companies)
 Banking companies
 Cooperative society
 Public and charitable trust
 Corporations set up under an act of parliament such as LIC, RBI, and FCI etc.

3 Marks

4. According to L.R.Dicksee "in such an arrangement of book keeping routine that errors and frauds are automatically prevented or discovered by the very operation of book keeping itself.

3 marks

5. Advantages to the auditor

1. Need not have a detailed checking

If there is a good internal check system in operation, the auditor need not have detailed checking of each and every transaction.

2. Rely on test checking

When there is an efficient internal check system in a concern, the auditor may apply certain test check selected at random. He has to analyze the gravity of defects and short comings of the accounting procedure. This will help the auditor not to have detailed checking on every transaction.

One point 1.5 marks

2 points – 3 marks

6.

		<u>INTERNAL AUDIT</u>	<u>EXTERNAL AUDIT</u>
1	appointment	Internal auditors is appointed by the management	Appointed by the shareholder or comptroller and auditor general
2	Nature of audit	optional	Compulsory by statute
3	qualifications	No professional qualifications required	Qualification under sec.226 of company's act
4	Manner of audit	Continuous audit	Conducted after a period
5	Status of audit	Generally staff of the organization	Independent person
6	objectives	To ensure compliance with established policies, plans and procedures of the organization	To ensure that accounts and financial statements are prepared as per law, and they give a true and fair view of the business and balance sheet gives a true and fair view of the financial position of the business
7	Detection and prevention of errors and fraud	Important objectives	Detection and prevention of error and fraud is only incidental

1 point – 1 mark

Any 3 point – 3 marks

7. The opening cash balance of the cashbook should be vouched by comparing previous audited Balance sheet

3mark

8. In regard to cash purchase the auditor should vouch the entries in the cashbook with the help of cash memos, receipted invoice issued by supplier and also goods inward book. The auditor should see that only the net amount (Purchase minus trade discount) is recorded in the books of accounts.

3 mark

9. Advantages of social audit

- Trains the community on participatory local planning
- Encourages local democracy
- Encourages community participation
- Benefits disadvantaged groups
- Promotes collective decision making and sharing responsibilities
- Develops human resources and social capital

1 point – 1 mark

Any 3 point – 3 marks

10. Need for social audit

Each business enterprise is not only connected with internal public but intimately connected with external public also. The modern corporations are more powerful and command huge resources. This power should not be used indifferently, irresponsibly or in an antisocial way. Its activities can create much impact on the society. As such its impact over society cannot be ignored or taken lightly. Its behavior not only affects the society but also creates problems to the government. Thus, social audit has become the need of the day.

3 mark

PART C

III. Limitations of auditing

1. Conceptual restriction.

Auditing has traditionally been regarded as a practical subject dealing mainly with procedures and techniques of checking, ticking totaling, vouching etc. as a result, several vital aspects such as finances managerial efficiency and effectiveness, business ethics etc. are ignored as being outside its scope.

2. Postmortem on prepared accounts

Auditing begins where accountancy ends. The auditor may be nowhere around when the accounts are being finalized. Therefore, it may not be possible for him to discover clever manipulations.

3. Dependence on inside information

An auditor has to seek additional information, clarification and explanations from various personnel of the enterprise. If the personnel providing it have themselves being a party to the manipulation, this information may not be reliable.

4. Inadequate or faulty external evidence.

Evidences which are external may not always be wholly reliable. For e.g. a debtor of the business might provide wrong information about the debt owned by him. In this case audited accounts may not be authentic.

5. Conflict with others

Auditor may have differences of opinion with the accountants, management, engineers etc. in such a case personal judgment plays an important role. It differs from person to person.

6. Corrupt practices to influence the auditors:

The management may use corrupt practices to influence the auditors and get a favorable report about the state of affairs of the organization.

7. No assurance

Auditor cannot give any assurance about future profitability and prospects of the company.

8. Detailed checking not possible.

Auditor cannot check each and every transaction. He may be required to do test checking.

One point 1 mark

Any 7 points – 7 marks

IV. Difference between investigation and auditing.

<u>Point of difference</u>	<u>Auditing</u>	<u>Investigation</u>
Scope	Only an examination of books of accounts	Wider scope. Examination of

		books of accounts and enquiry into matters behind the books of accounts.
Object	To examine and make a report on the truth and fairness of financial statements.	Ascertaining certain facts such as fraud, low working capital etc.
Time coverage	It usually covers one accounting year.	It may cover more than one accounting year.
Conducted	It is conducted for proprietors only	It is carried on behalf of any party interested in the matter.
Compulsion	Audit is legally compulsory for companies	It is voluntary. It is required under certain circumstances.
Time	It may be conducted at the end of the year	It may be conducted at any time in case of suspicion about any transaction
Reports	Form of report is prescribed. It is presented to the shareholders.	Form of report is not prescribed. It is presented to the client.
Appointment	Owners appoint the auditors	Even 3 rd party can appoint an investigator
Qualification	Chartered accountants	No specific qualification is necessary for investigator
Period covered	Covers only a year or 6 months	It may cover a period ranging from 3 to 7 years

One point 1 mark

Any 7 points – 7 marks

V. Internal check regarding cash payment.

1. All payments should, as far as possible be by cheques excluding, of course, petty cash payments which should be in charge of a separate person.
2. Unused cheque-books should be under the custody of a responsible person.
3. Person responsible for preparing cheques should be clearly specified. Before passing a bill or an invoice for payment, it should be ensured that the enterprise has in fact secured the goods or services as stated therein.
4. As soon as cheque has been prepared the relevant bill or invoice should be stamped “paid” so that it is not by mistake or otherwise, again passed for payment.
5. Only person duly authorized in this behalf should sign cheques. Limitations as to the amount up to which cheques could be prepared and signed in the ordinary course, should be clearly specified.
6. In case any payment is of a special nature, or involves a big sum, there should be proper authorization for it from a high official and the cheque should preferably be signed by more than one official.
7. There should be specific instructions not to sign cheques in advance or in favor of the persons signing them.
8. Each cheque should be accounted for, and the cancelled cheques should be carefully preserved.

9. Bank reconciliation statements should be prepared at regular intervals, preferably by independent person.

*One point 1 mark
Any 7 points – 7 marks*

VI. Internal check as regards purchases

1. Purchases should be supervised and controlled by separate department to be called buying or purchase department and should be headed by a responsible official.
2. The department must maintain a list of approved firms with whom orders for making purchases are regularly placed.
3. Each section of the enterprise should be given separate requisition forms with serial numbers. The purchase dept. should keep a separate record of requisition forms received from different departments.
4. Upon receipt of requisition the purchase department should send letter of enquiry to the listed suppliers for quotation of the price, freight, delivery terms etc.
5. After examination of quotation the purchase dept. should place order to the selected supplier. It should also send copies of the order to the accounts dept., stores dept., and the department which made requisition.
6. The procedure relating to receipt, inspection, acceptance and transfer of goods to concerned departments should be clearly specified.
7. Receipt of goods should be recorded in goods received book and should prepare goods received note and send a copy of the same to the accounts department and to the department which made requisition.
8. Goods received should be inspected and should prepare goods inspection note. A copy of it should be sent to the accounts department and to the department which made requisition.
9. Upon receipt of suppliers invoice the purchase department should check it with the order, goods received note, goods inspection note, to ensure rate, discount quality and quantity etc.
10. Necessary particulars of the purchase should be recorded in the purchase register and the number of the purchase order should be marked on the invoice.
11. The invoice should be sent to the authorized person for passing it for payment.
12. For the goods returned to the supplier, credit note should be obtained from him (against a debit note prepared in his name)'

*One point 1 mark
Any 7 points – 7 marks*

VII. Compare verification and Valuation

	<u>Verification</u>	<u>Valuation</u>
1	Auditor verifies the existence of assets	Auditor ensures that the value of assets as shown in the balance sheet is correct
2	It includes valuation also	Valuation is a part of verification of asset
3	In case of verification of assets done by the auditor, he is responsible for the same	If the valuation is done by the management of the business, valuation is not part of auditors duty
4	It is done after valuation of assets	It is done before verification
5	Auditor even physically verifies the	Auditor has to accept the certificate

	existence with evidence	issued by directors
6	The chance of manipulation of accounts to inflate or deflate profit is less	There is more chance
7	Includes vouching	Does not include
8	Scope of verification is wide. It includes checking existence, ownership, possession	Scope is limited, here only the values of assets and liabilities are checked.

*One point 1 mark
Any 7 points – 7 marks*

VIII. Vouching vs. verification

		Vouching	Verification
1	Examination of items	All business transactions are recorded in the original entry.	Assets and liabilities in the balance sheet.
2	objective	The correctness and authenticity of business transaction	To confirm physical examination, the value of assets and liabilities as shown in the balance sheet.
3	Duration of time	It is continuous and done throughout the year.	Done at the end of the year.
4	Beginning of work	Vouching takes place first	After vouching verification begins
5	Based on	Documentary examination	Both documentary and physical examination
6	Existence of assets and liabilities	Does not indicate whether a particular asset or liability really exist on the date of balance sheet.	It proves the particular asset or liability exist on the date of balance sheet.
7	Valuation of assets	Not included	Included
8	Work done by	Junior staff from audit party	Auditor himself

*One point 1 mark
Any 7 points – 7 marks*

IX. Types of audit reports

The opinion expressed in the audit report may be classified into

a) **Unqualified opinion**

An unqualified opinion indicates implicitly that changes in accounting principles or in the method of their application and the effects thereof have been properly determined and disclosed in the financial statements

b) **Qualified opinion**

The auditor expresses a qualified opinion when he is of the view that it is not possible to issue an unqualified opinion but that the effect of limitation on scope or of disagreement or of uncertainty is not as material as to require an adverse opinion or disclaimer of opinion. Here the auditor will report that in his opinion the financial statements do not

show a true and fair view. Of course, a qualification in these terms will be made only in extreme cases.

c) **Disclaimer of opinion**

The auditor expresses a disclaimer of opinion where the possible effect of a limitation on scope or of an uncertainty is so material and significant that he concludes that he is not in a position to form an opinion on the financial statements. Here, the auditor will report that he is unable to, and does not, form an opinion whether the financial statements show a true and fair view.

1 point – 1 ¾ marks

4 points – 7 marks

X. Limitations of social audit

- It can be highly complicated, and time taking for the users.
- It does not offer any sort of transparent methodology
- It defines scope might get difficult for the users
- It tends to be subjective is another reason why the same is highly discouraged.
- It lacks qualified trainers.
- The practical utility in social audit is minimal.

1 point – 1 ¼ marks

6 points – 7 marks

XI. Bills receivable books.

This book is used to record all particulars including date of maturity and the manner of disposals as to the bills receivable. Auditor should check the entries relating to the matured or discounted bills with the cash or bank pass book. If any of this bills have been dishonored or renewed it should be ascertained whether the account of the customer has been debited with the amount of the bill also with the amount of noting charges, interest etc. if any

Bills which are yet to mature should be physically verified and checked with the total in the Bills receivable books and with the balance in bills receivable account.

Bills payable book

It should be checked with the returned bills duly cancelled and with the entries in the cash or bank passbook. Outstanding bill should be verified and the total of their individual amount should be vouched with the total in the bills payable book and the balance in the bills payable account.

Bills receivable book – 3.5 marks

Bills payable book – 3.5 marks

Total – 7 marks

XII. Verification of current assets.

1. Cash in hand

The auditor should pay a surprise visit to the office of the business on the last days of the year and count the total cash.

If he is unable to the last days of the year he can do the same in the beginning of the next year and compare the cash in the cash box with the balance in cash book together with the

transactions of the interim period between the last day of the year and the day of his checking.

He can direct the employer to deposit the total amount of cash in hand in the bank at the last day of the balance sheet.

Regarding cash balance at branches the auditor will check remittance from branches to the head office account.

2. Cash at bank

The auditor shall examine the cash book with the help of pass book, cheque book and pay-in-slip book.

The auditor shall receive the bank balance certificates from all the banks in which company opened its account.

In case the balances in the bank certificate do not match with those in cash the auditor shall prepare bank reconciliation statement.

The auditor should see that cheques outstanding and cheques not yet collected are genuine and not made up to conceal deficiency.

As regards overdrafts the auditor should enquire the security offered and interest with passbook and cash book.

3. Bills receivable

- The auditor must obtain a list of bills receivables from the employer as at the date of balance sheet. It must be compared with accounts in general ledger.
- The auditor must check the bills in the business premises on the date of balance sheet to see that all the bills are duly drawn and bear stamps.
- The maturity date of the bill must be checked.
- If bills have been deposited in the bank for collection the certificate must be obtained from the bank.
- If some bills have been discounted the verification from cash book or passbook must be done. If a bill has been retired under rebate the cash book must be checked in this regard, and ensure the amount is received before the due date.
- If a bill has been dishonored he must check the reason for it and if the reason is bad financial position necessary provision must be made.

4. Debtors

- The auditor must set a list of debtors certified by a responsible officer.
- He should verify the actual existence of debtors with the confirmation letters of the statement of account directly received from debtors.
- He should pay special attention to those balances for which confirmation are not available. The sales ledger balance should be checked with debtor's ledger, sales return book, cash book etc.
- He should check rules regarding discount and the authority to approve the discount.
- The amount written as bad debt must be authorized by a competent officer.
- If debtors are outstanding for 3 years, it must be written off in p& L account and adequate must be made for bad and doubtful debts.

5. Investment

- Auditor must obtain a list of all types of securities with details of name of the security, date of purchase, nominal value, cost price, market price on the date of balance sheet. The auditor must compare the list by checking the security as such.
- If some securities are mortgaged the mortgage deed must be checked and see that each loan has been shown on the liability side. The auditor can also get mortgages confirmed from the

mortgage.

- If some securities have been sold during the year the brokers sales note must be examined and in case of purchase, the brokers purchase note and the resolution sanctioning investment, allotment letter must be verified.
- If investments are kept as fixed assets and the object of the business is to earn a definite income from them they must be shown at cost price and not market price.
- If they are kept as current assets its valuation is done on the basis of cost price or market price whichever is less.

1 current asset – 3.5 marks

2x3.5 = 7 marks

XIII. VOUCHING OF PURCHASES / PURCHASE DAY BOOK

After satisfying with the system of internal check in force in respect of purchases the auditor starts vouching the purchases day book. If he is not satisfied with the system of internal check in operation he would be very careful and should check all transaction in detail.

The entries in the purchase book can be vouched with the help of purchase invoice, goods inward book and delivery notes. The auditor should pay special attention to the following points.

1. Does the name of the creditor as given in the invoice agree with the name entered in the purchase day book?
2. Is the invoice in the name of the client?
3. Does the date of invoice relate to the period under audit?
4. Are the orders for goods placed by a responsible officer on behalf of the concern?
5. Is the amount entered in the purchase book, the invoice price after deducting trade discount if any?
6. Are the casting of purchase book is correct?
7. Does the net amount of invoices agree with purchase book total?
8. The invoice has been initiated having been checked.
9. Do the purchases entered in the purchase book include any purchase of capital goods?
10. If the directors or partners buy through the firm to get the advantage discount see that the purchases are charged to their personal account.

At the end of the financial period, the auditor should compare the goods inward book and stock sheet with purchase book to ensure that all goods taken into stock have been entered in the purchases book.

7 marks

XIV. Sales or sales day book or sold journals

Sales day book is used for recording sales on credit. It is generally in columnar form giving goods wise details of sales.

Vouching procedure

The auditor should proceed as follows.

Entries in the sales day book should be checked with the duplicates of sales invoices and originals of customers' orders.

1. Entries in the sales day book should be further checked with positing to the ledger.
2. Casting, carry forwards, and totals of the sales day book should be carefully checked, and also positing to the sales account.
3. A sales day book records only credit sales, sale of capital goods should not be recorded there in. It should be recorded in relevant asset account.
4. It should be ascertained whether the goods represented as sales have been actually sold, the possibility of goods on consignment or on sale or return basis. Being first included under sales and then again under closing stock should be carefully guarded against.
5. Whether sales are subjected to any tax, the amount of tax should be properly separated from the price and shown in separate column in the sales day book.
6. The goods represented as sales should have been actually withdrawn from the stock and dispatched to the customer. Even the goods not actually dispatched may also be regarded as sales, but in that case, they should not be included under closing stock to inflate the profit.
7. Cancelled invoices should be checked with duplicate copy of invoice.

7 Marks

MODEL QUESTION PAPER----- SET 2

AUDITING

(Time: 3 hours)

(Maximum marks: 75)

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 marks)

1	Incorrect recording of transaction in journal or ledger either wholly or partially, it is known as error of	M1.01	R
2	----- is the concealment of shortage of cash by delaying recording	M1.01	R
3	The important principle of internal check regarding cash receipts is	M2.02	R
4	State the meaning of internal audit	M2.03	R
5	----- is an integral part of verification of assets	M3.04	R
6	----- is documentary evidence in support of a transaction	M3.01	R
7	The closing stock is valued at -----	M3.05	R
8	A report bearing qualification is known as	M4.02	R
9	Test checking is done when there is an effective system of -----	M2.01	R

PART B

II Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 =

24marks)

1	“Auditing begins where accountancy ends.” comment.	M1.01	U
2	Write a short note on private audit.	M1.02	U
3	State objectives of internal check	M2.01	R
4	List out the limitations of internal audit.	M2.03	R
5	Define Vouching	M3.01	R
6	“Vouching is the backbone of auditing”. Discuss	M3.01	U
7	Describe the types of vouchers	M3.01	U
8	How will you verify investments?	M3.05	U
9	Discuss the disqualifications of a company auditor	M4.02	U
10	How is the remuneration of accompany auditor determined?	M4.02	U

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III	State objectives of Auditing	M1.01	U
	OR		
IV	Explain principles of Auditing	M1.01	U
V	Describe a system of internal check in respect of wage payments suitable for a manufacturing concern.	M2.02	A
	OR		
VI	Suggest a suitable system of internal check for recording cash receipts	M2.02	A
VII	How would you verify the following a) Goodwill b) Motor vehicle	M3.06	A
	OR		
VIII	As an auditor, how will you vouch Purchase Returns?	M3.03	A
IX	Compare Verification and Valuation	M3.04	U
	OR		
X	Explain vouching of payment side of cash book.	M3.03	U
XI	List out the essentials of Audit Report.	M4.02	U

XII	OR List out the powers and duties of an Auditor	M4.02	U
XIII	Compare Internal Check and Internal Audit. OR	M2.03	U
XIV	Compare Book keeping and Auditing.	M1.03	U

Question Wise Analysis

Course: AUDITING

SET 2

Q.No	Module Outcome	Cognitive Level	Marks	Time
I.1	M1.01	R	1	2 Mts
I.2	M1.01	R	1	2 Mts
I.3	M2.02	R	1	2 Mts
I.4	M2.03	R	1	2 Mts
I.5	M3.04	R	1	2 Mts
I.6	M3.01	R	1	2 Mts
I.7	M3.05	R	1	2 Mts
I.8	M4.02	R	1	2 Mts
I.9	M2.01	R	1	2 Mts
II.1	M1.01	A	3	9 Mts
II.2	M1.02	U	3	9 Mts
II.3	M2.01	R	3	9 Mts
II.4	M2.03	R	3	9 Mts
II.5	M3.01	R	3	9 Mts
II.6	M3.01	U	3	9 Mts
II.7	M3.01	U	3	9 Mts
II.8	M3.05	U	3	9 Mts
II.9	M4.02	U	3	9 Mts
II.10	M4.02	U	3	9 Mts
III	M1.01	U	7	15 Mts
IV	M1.01	U	7	15 Mts
V	M2.02	A	7	15 Mts
VI	M2.02	A	7	15 Mts
VII	M3.06	A	7	15 Mts
VIII	M3.03	A	7	15 Mts
IX	M3.04	U	7	15 Mts
X	M3.03	U	7	15 Mts
XI	M4.02	U	7	15 Mts
XII	M4.02	U	7	15 Mts
XIII	M2.03	U	7	15 Mts
XIV	M1.03	U	7	15 Mts

Blue Print

Mark Distribution

Module	hr / M	Marks	Type of Questions			
			Part A	Part B	Part C	Total

			No. of Questions	Marks	No. of Questions	Marks	No. of Questions	Marks	No. of Questions	Marks
1	18	29	2	2	2	6	3	21	7	29
2	18	30	3	3	2	6	3	21	8	30
3	24	43	3	3	4	12	4	28	11	43
4	15	21	1	1	2	6	2	14	5	21
Total	75	123	9	9	10	30	12	84	31	123

Blue Print
Cognitive Level Mark Distribution

Cognitive Level	Marks	% of Marks
Remembering	18	15
Understanding	77	62
Applying	28	23
Analyzing	..	..
Evaluating	..	..
Creating	..	..
TOTAL	123	100

SCHEME OF VALUATION
(Scoring Indicators)

Revision:
Course Title: Auditing

Course code:

I. PART A

1. Commission
2. Teaming and lading
3. All receipts should be banked daily
4. Prof.Walter.B.Meigs “Internal auditing consists of a continuous critical review of financial and operating activities by a staff of auditors functioning as full time salaried

employees.”

5. Valuation
6. Voucher
7. Cost price or market price whichever is lower
8. Qualified report
9. Internal check

9 marks

II. PART B

1. Auditing begins where accountancy ends. The auditor may be nowhere around when the accounts are being finalized. Therefore, it may not be possible for him to discover clever manipulations.

3 marks

2. Private audit refers to the audit of accounts of private business enterprises such as sole trader, partnership firms, and private individuals. It is not compulsory to audit the accounts of private enterprise.

3 Marks

3. Objectives of internal check

1. Proper division of work

Division of work based on each individual's ability, training. Specialization leads to an overall efficiency and effectiveness.

2. Fixation of responsibility

Due to clear determination of responsibility each individual know what is expected of him and also for any other or fraud, he alone will be held responsible.

3. Minimization of errors and frauds

As the work of one is checked by another there is considerable reduction in errors and frauds.

4. Early detection of errors and frauds

As the work of one is checked by another, errors or frauds committed can be discovered in time and the resultant loss can be minimized.

5. Reliability of books of account

If an enterprise is operating an effective internal check the books of accounts and other records are readily rely upon by interested parties in such a case even the statutory auditor confines his examination to selective test checking.

6. Early preparation of final accounts

Accounting data under an effective internal check can be safely used to prepare the final accounts in time

1 point – 1 mark

Any 3 points – 3 marks

4. Disadvantages of internal audit

1. Internal audit reports are not accepted by shareholder, and therefore it is only for management use and company has to conduct external audit.
2. It is an additional cost for the company for hiring internal auditor.
3. Internal audits are not full proof in the sense that it cannot eliminate or catch all the frauds and therefore some chances of fraud happening even after internal auditing is always there.
4. Since internal audit is done by professionals who are outsiders chances are there to have little or zero attachment to the company and they will do the work for money rather than for the

betterment of the company.
5. Not suitable for small firms.

1 point – 1 mark
Any 3 points – 3 marks

5. Prof. Dicksee has defined vouching as comparing the entries in the books of accounts with documentary evidence in support thereof.

3 marks

6. Vouching is the backbone of auditing. It is also the essence of auditing because it is testing the truth of items in the books of original entry.

The auditor should verify the financial data and nonfinancial data.

The auditor has to satisfy himself that the transactions are related to the business, it is properly authorized, and it is related to the period under audit.

1 point – 1 mark
3 points – 3 marks

7. Vouchers are grouped into

1. Primary vouchers
2. Secondary or collateral vouchers

1. Primary vouchers

Primary vouchers are original vouchers. They are written or printed, or typed evidence in original. Eg. Cash memos, pay in slip, invoices etc.

2. Secondary or collateral vouchers

It is not available in original. These are the copy of original evidences reduced in support of a transaction. Eg. Carbon copies of sales memos, bank reconciliation statement issued by bank, true copies of resolutions etc.

1 point 1 ½ marks
2 points – 3 marks

8. Investment

- Auditor must obtain a list of all types of securities with details of name of the security, date of purchase, nominal value, cost price, market price on the date of balance sheet. The auditor must compare the list by checking the security as such.
- If some securities are mortgaged the mortgage deed must be checked and see that each loan has been shown on the liability side. The auditor can also get mortgages confirmed from the mortgage.
- If some securities have been sold during the year the brokers sales note must be examined and in case of purchase, the brokers purchase note and the resolution sanctioning investment, allotment letter must be verified.
- If investments are kept as fixed assets and the object of the business is to earn a definite income from them they must be shown at cost price and not market price.
- If they are kept as current assets its valuation is done on the basis of cost price or market price whichever is less.

1 point – 1 mark
Any 3 points – 3 marks

9. Disqualifications of the Auditor are:

The following persons shall not be appointed as company auditors

- a) A body corporate
- ii. An officer or employee of the company
- iii. A person who is a partner or who is the employee of an officer or employee of the company
- iv. A person who is indebted to the company or who has guaranteed a debt for more than rs.1000
- v. A person who is director or member of a private company who is the Secretary and Treasurer of the company or a partner of such firm.
- vi. A person who is a director or a shareholder holding more than five percent of the capital of a public company who is secretary and treasurer of the company.
- vii. If an auditor becomes disqualified after his appointment he shall be deemed to have vacated his office as such.

1 point – 1 mark

7 point – 7 marks

10. Remuneration of an auditor forms his fees or honorarium or other expenses (incurred by him) paid by the company order.

Auditor's remuneration is fixed as per 224(8) of the companies act.

1. By the directors: If the auditor has been appointed as the first auditor by the board of directors, before the first annual general meeting, or appointed to fill in casual vacancy other than resignation, the board fixes his remuneration.
2. By Central Government: If the auditor is appointed by the Central Government, then the Central Government will fix his remuneration in consultation with Comptroller and Audit General of India.
3. By Shareholders: If the auditor has been appointed by shareholders in the annual general meeting of the company, the shareholders fix his remuneration.
4. If an auditor is appointed to other works such as investigation, sales performance, or preparation of income tax etc. he is entitled to additional remuneration.

It may be noted that any amount given to an auditor is treated as "Remuneration". It is not necessary that the remuneration of an auditor should be fixed in the same general body meeting in which he is appointed. It may also be determined by the subsequent general meeting of the shareholders.

1 point – 1 ¾ marks

4 points – 7 marks

PART C

III. Objectives of Auditing

The objective of audit may be classified as;

1. Primary object and

2. Subsidiary object

1. Primary object /Main object

Primary object of an auditing is reporting to the management and to see whether the final accounts are drawn as per law. In the case of proprietary or partnership concerns however, detection of errors and fraud may be the main object of audit.

To ensure that the primary objective of audit is achieved an auditor must

- Verify whether proper accounting principles and procedures are followed.
- Check the arithmetical accuracy of books of accounts.
- Verify the authenticity and validity of transactions
- Find out whether the financial statement is properly drawn up.
- Report whether the profit and loss account give a true and fair view of the financial position of the business at the end of the financial year.

2. Subsidiary object

These are such objectives that are set up to help in attaining primary objectives. They are as follows:

- a) Detection and prevention of errors
- b) Detection and prevention of fraud.

a) Detection and prevention of errors

Errors are mistakes committed while recording the transactions, posting, carrying forward and balancing of accounts. It may be unintentional or intentional. Hence the auditor has to be very careful about errors.

Errors may be classified as;

1. Clerical errors
2. Technical errors

Detection and prevention of fraud

It means making a wrong entry intentionally to defraud somebody. The result is that some loss or liability is caused to the proprietor of the business.

Types of fraud

They are

- 1) Misappropriation /embezzlement of cash
- 2) Misappropriation of goods
- 3) Fraudulent manipulation of account

Primary objective – 3.5 marks
Secondary objective- 3.5 marks
Total 7 marks

IV. General basic principles of auditing

1 Integrity, Independence and Objectivity

The auditor should be straightforward, honest and sincere in his approach to his professional audit work. He must be fair and must not allow bias or prejudice to override his objectivity. He must maintain an impartial attitude and appear to be free of any interest. The principle of independence aim at the independent approach in audit work.

2] Confidentiality

The auditor has access to a lot of sensitive financial information of the organization. It is important that he respect the confidential nature of such information and documents. He cannot disclose any sensitive information to any third party unless it is a requirement by law.

3] Skill & Competence

The auditor must be experienced and trained in the procedures of auditing, i.e. must be qualified as an auditor. And as a professional, he must be up to date on recent changes, announcements, rules etc.

4] Work Performed by Others

When an auditor delegate work of audit to his junior auditors or experts he will continue to be responsible for forming and expressing his opinion on the financial information. The auditor should supervise and review work delegated to his junior auditors or assistants.

5] Documentation

The auditor should collect and preserve all documents according to their importance or materiality. These documents include detailed documents, statements, notes and other valuable information pertaining to accounts, which are under audit. These documents are properly arranged and preserved carefully.

6] Planning

An audit plan allows the auditor to plan out his work and enables him to be more efficient and timely. Every audit plan is different as it has to be customized according to the type of organization, the kind of business they conduct, the scope of the audit, the efficiency of the internal controls etc.

7] Audit Evidence

The auditor gathers sufficient appropriate audit evidence to his satisfaction to frame his report and form opinion as financial information.

8] Accounting Systems and Internal Controls

The auditor has to assure that the accounts of the organization are accurate and represent a true and fair picture of the financial status of the company. Also, the auditor must ensure that all material information has been recorded in the accounts. Testing the internal controls system is also important as it helps determine the same.

9] Audit Conclusions and Reporting

At the end of the audit of a firm, the auditor should review the audit work. He should express his opinion on the financial information on the basis of review and analysis of evidences, knowledge of business, his skill and experiences.

V. Internal check system as regards wage payment

The following points should be noted regarding internal check of wage payment of a manufacturing concern

1. All appointments, removal and fixation or alteration of wage rates should be in writing and authorized by a competent official.
2. The work relating to preparation of wage sheet should be subdivided among different employees.
3. Records as to time and piece rate system of permanent and casual workers should be properly checked.
4. The method by which deductions are to be made from workers' remunerations should be clearly notified.
5. The foreman should countersign records as to time and piece system, the amount, number of hours worked, number of pieces manufactured, overtime etc.
6. The number of workers shown in the wage sheet should be checked with the official list of workers in the human resource department and also the rates of wages.
7. Close attention should be given to overtime payments which in any case should be made only on written authority from the head of the department.
8. Incentive bonus payments for extra output to selected workers should be checked to ensure the output per worker has been recorded correctly, the rates are correct and the period of absence has been duly excluded.
9. The accounts department to which the wage sheet are sent must carefully check the totals and ensure that deduction towards provident fund, pension fund, insurance etc. are properly made.
10. Proper arrangement should be made for drawing and encashment of wage cheque.
11. Payment of wages should be under the supervision of a responsible official and should be made by a person who is not connected with preparation of wage sheet.
12. Payment of wages in advance should be properly controlled.
13. There should be specific instructions as regards dealing of unclaimed wages.
14. This should include preparation of list of unclaimed amount and immediate deposit of the same in the bank in a separate account.
15. Subsequent payment of unclaimed wages should be on production of individual wage records and through the petty cash book upon authorization of person other than the cashier.
16. Senior official should do surprise checking of wage sheet and wage payment to ensure fake names are not shown, wage rates are not over stated false overtime payments are not recorded and wages are paid to the persons concerned.

Any 7 points – 7 marks

VI. Internal check system as regards cash receipts

1. There should be a separate cashier to deal with the receipt of cash.
2. As soon as cash is received it should be entered in a rough cash book or in the cash diary.
3. The letter containing remittance (cheques, drafts, postal orders etc.) must be opened by a responsible official and entries made in the register.

4. All the cheques and postal order and drafts received should be crossed with the words 'not negotiable/account payee only' by means of a rubber stamp.
5. All receipts should be banked daily.
6. Bank reconciliation statements should be prepared to reconcile bank and cash balances
7. When cash is received after the close of the banking hours and kept in the locker of the business, a separate entry should be made in the register of "late remittance:
8. All cash receipts should be acknowledged by means of printed receipts.
9. All unused receipt books should be kept in the safe custody of the responsible official.
10. A separate register showing the detail of the receipt book, printed and issued to the cashier, must be maintained by responsible official.
11. Spoiled or cancelled receipts should not be detached from the receipt book but should be attached to the counterfoil with the mark "cancelled" and attested by the responsible official.
12. All customers should be requested to make payments by crossed cheques.
13. A proper system of recording cash sales should be in operations under proper supervision and control.
14. There should be a separate arrangement for the custody and treatment of the bills received.
15. Before the cash is kept inside the vault the cashier and the responsible officer must check up the total of cash and tally it with the daily total of receipts.
16. Cash required for payments should not be taken out from the cash receipts. It should be withdrawn separately, from the bank by means of cheque.

Any 7 points – 7 marks

VII. Goodwill

- Goodwill appears in the balance sheet of the company because it is actually purchased or the company is absorbed by another.
- The auditor should verify the purchase agreement to ascertain the value of goodwill.
- In case of partnership, the agreement between partners should be checked to ascertain the value of goodwill at the time of admission retirement etc.
- The goodwill should be shown in the balance sheet at cost less the amount of goodwill written off.
- **Motor vehicles.**
- 1. The auditor should assure that the vehicles are registered in the name of the client.
- 2. He should get a schedule of all motor vehicles owned by the company together with registration book, insurance policy and road tax receipts.
- 3. He should see that the purchase of motor vehicles and additions are properly capitalized.
- 4. If the property is mortgaged, the mortgage deed should be checked and the amount of loan as liability of business.
- 5. If a vehicle is sold the account must be closed.
- 6. The maintenance of vehicles license fee, insurance premium etc. should be charged to profit and loss account.
- 7. Adequate provision for depreciation must be made.

Goodwill – 3.5 marks

Motor vehicles – 3.5 marks

Total – 7 marks

VIII. Purchase return

Sometimes goods purchased are returned because of various reasons like inferior quality, damage etc. In such case, the dealer prepare a debit note on receipt of this and the goods, the supplier send a credit note acknowledging the receipt of goods return. The auditor should see that credit note is received and properly accounted for in the book. He should compare the entries in the purchases book with the credit note and the gate keeper's goods outward book.

Credit note may also be received in connection with an allowance for damages, underweight or errors in calculation. These should be checked with the correspondence with the suppliers and with relevant deduction for the same in subsequent invoice.

7 marks

XI. Compare verification and Valuation

	<u>Verification</u>	<u>Valuation</u>
1	Auditor verifies the existence of assets	Auditor ensures that the value of assets as shown in the balance sheet is correct
2	It includes valuation also	Valuation is a part of verification of asset
3	In case of verification of assets done by the auditor, he is responsible for the same	If the valuation is done by the management of the business, valuation is not part of auditors duty
4	It is done after valuation of assets	It is done before verification
5	Auditor even physically verifies the existence with evidence	Auditor has to accept the certificate issued by directors
6	The chance of manipulation of accounts to inflate or deflate profit is less	There is more chance
7	Includes vouching	Does not include
8	Scope of verification is wide. It includes checking existence, ownership, possession	Scope is limited, here only the values of assets and liabilities are checked.

One point 1 mark
Any 7 points – 7 marks

X.

	<u>Type of payment in cash book</u>	<u>Supporting vouchers</u>
1	Opening credit balance of bank account (bank overdraft)	Previous audited balance sheet
2	Cash purchases	Invoice or cash memos, good inward book
3	Payment to creditors	Receipt issued by creditors, goods inward register, periodical statement submitted by creditors
4	Payment of wages	Wage sheet, wage record, time record and piece work card, cheque drawn for payment

		of wages
5	Payment of salary	Salary register, attendance book, appointment letter, agreement, minutes, cheque service book
6	Directors fees	Articles of association minutes of general meeting, receipts issued by directors
7	Travellers commission and expenses	Sales order register, bills and receipt, agreement
8	Bills payable	Bills payable book, Bank pass book
9	Loans advanced	Loan agreement, receipt given by borrower security and title deed, provision of companies act
10	Purchase of investment	Brokers note, cheque book, pass book, letter of allotment, bank receipt in the case of new issue
11	Acquisition of plant and machinery	Invoice and receipt
12	Purchase of free hold property (acquisition of land and buildings)	Title deed, brokers note, auctioneer's note, contract architect's certificate
13	Payment under hire purchase and installment agreement	Agreement, receipt
14	Interest on loan	Interest register and passbook
15	Auditor's remuneration, fees	Receipts issued by the auditor

One point 1 mark
Any 7 points – 7 marks

XI. Essentials of Audit report

The audit report should include the following information as per Sec 227(3) of the Companies Act.

1. Whether the auditor has obtained all the information and explanation that he considers necessary for the audit.
2. Whether proper books of accounts required by law have been kept by the company.
3. Whether the accounts of the branches have been audited or have been exempted from audit.
4. Whether the balance sheet and profit and loss accounts are in agreement with the books of accounts and returns from branches.
5. Whether any other statement has been included as required by the Central Government.
6. Whether the balance sheet and profit and loss account give the information as required by Companies Act and in a manner, which has to give a true and fair view on
 - a) Whether the balance sheet gives a true and fair view of the state of affairs of the company as at the end of the financial year.
 - b) Whether the profit and loss account gives a true and fair view of the profit and loss of the company for the financial year.
7. Certificate of Corporate Governance (Certificate of Compliance)

Signature on Audit Report

The report should be signed by the Company's auditor (Section 229). In the case of firm of

auditors, only a partner in the firm should sign in the audit report. (Section 226).

1 point – 1 mark

7 points- 7 marks

XII. Powers and duties of an auditor

1. Every auditor has a right of access to the books of account and vouchers of the company at all times, whether they are at the registered office of the company or at any other place.
2. The auditor of a holding company also has a right of access to the records of the subsidiary company if they are necessary for the purpose of the consolidation.
3. An auditor also has a right to receive notice of any general meeting. He may attend it himself or through his authorized representative who is also qualified to be an auditor. He also has a right to be heard on any part of the business which concerns him.
4. The auditor also has a right to receive information and explanation regarding the matters which are necessary for the performance of his duties. He needs to know whether:
5. The company makes loans and advances against proper security and the terms of these are prejudicial to the interest of the company.
6. Transactions that merely represent a book entry are prejudicial to the interest of the company.
7. In the case of a company which is not an investment or banking company, it sells the assets. They are in the form of shares, debentures, and other securities at a price less than their purchase price.
8. The company shows the loans and advances that it makes as deposits.
9. It charges the personal expenses to revenue account.
10. It states in the books and documents that where it has allotted the shares in cash, it has received the cash or not. Also, whether the position in the books and Balance sheet is correct and not misleading.

1 point – 1 mark

Any 7 points – 7 marks

XIII. Difference between internal check and internal audit

	Internal check	Internal Audit
1	The work of one clerk is automatically checked by another at the same time	The work of one clerk checked by another after the former has completed the work
2	It is a device to minimize the chance of error and fraud	It is a device to detect fraud and error already committed
3	No separate staff is appointed for the purpose of internal check	Internal auditors are specially appointed
4	A firm easily adopts internal check system	Only large firms can afford the cost of internal audit
5	It is for the internal management	It is for top management
6	It is treated as instant audit	It is considered as management audit or operational audit
7	The work is continuously checked in the very process of its being performed.	It is a post mortem on work already done and requiring an appraisal as to whether the particular procedure of performing the work is operating properly
8	It is a line function	It is a staff function

1 point – 1 mark
Any 7 points – 7 marks

XIV

	Book keeping		Auditing
1	It is the art of recording the daily transactions in a set of financial books(journal and ledger)	1	It is the verification of the accuracy of the entries made in the book of accounts by account clerks (book keepers)
2	The work of book keeping is done by the junior accountants or book keepers	2	The work is done by auditors
3	Generally book keepers do not possess any specialized training for recording business transactions	3	Auditors are required to have special knowledge and training. (qualified chartered accounts)
4	The work in book keeping is mainly concerned with journalizing, posting totaling and balancing various ledger accounts	4	The main work is concerned with verification and thorough scrutiny of accounts, as the recorded transactions are bona fide
5	The work is more or less of mechanical or of routine in nature. Now computer book keeping machines and ledger machines are used for book keeping	5	The work of auditing is of technical nature
6	Book keeping is a continuous process done throughout the year	6	Generally auditing is at the completion of the year
7	Book keepers are regular and paid employees	7	Auditors are outsiders appointed for the specific job and are paid a fixed fee
8	Book keeping work is constructive in approach	8	Audit work is critical and analytical in approach
9	The work of book keeping precedes auditing	9	The work of auditing starts where the book keeping ends
10	Book keeping is of current period	10	Auditing is retrospective

1 point – 1 mark
Any 7 points – 7 marks
